

The actual buying of your car should be thought of as the last step of an in-depth research project. The project's conclusions should never be determined without first conducting diligent analyses. You should be able to walk into the car dealer with an accurate idea of how much you can afford. Without this knowledge, you may end up a repossession statistic. The sticker price is just a starting point and may end up being significantly different than the price you end up paying. The amount listed on your final contract is what you will be responsible for. It is important that this amount is within your ability to pay.

The following case history chronicles Jack's first car purchase. You are about to learn the steps that should accompany not only your first, but all of your car purchases. If you skip a step, you may find yourself in trouble, just like Jack did.

Did You Do Your Homework?

Jack pulled into his parents' driveway with a new Mustang convertible. This was his first car purchase and he had insisted that he could buy it on his own. Jack had worked at a video store for over two years and had saved a large part of his salary. Now as a senior in high school, he finally had enough money saved for a down payment and he couldn't wait any longer. He was proud of his new car and could hardly wait to show it to his parents.

As they looked over Jack's Mustang, he noticed a worried expression appear on their faces. He asked what was wrong, and they replied that they weren't expecting such an expensive car. Jack hadn't planned on getting such an expensive car, but the dealer had convinced him that this Mustang was the perfect automobile for him.

Jack justified this purchase—after all, he lived in Los Angeles and needed this type of car. Jack felt he had to take full advantage of the beautiful weather and buy a convertible.

